

Case No. R.F.A No.23970 of 2025

Muhammad Sharif

Date of Hearing:	19.06.2025
Appellant by:	Ch. Umar Hayat Kamran Raojoka, Advocate.
Respondent by:	Mr. Naseer Ahmad Jaura, Advocate

Hassan Nawaz Makhdoom, J.- The **appellant**/defendant has preferred the instant Regular First Appeal under Section 96 of the Code of Civil Procedure, 1908 (the **CPC**) challenging the judgment and decree dated 11.03.2025 passed in favour of the **respondent**/plaintiff in a suit filed under Order XXXVII of the **CPC** for recovery of Rs.99,922,562/-, based on Cheque No. 00611087 dated 24.03.2020 (**Exh. P/1**).

2. The precise facts of the case are that the respondent/plaintiff, being a foreign national, had business interests in Pakistan and, for that purpose, used to frequently travel between the United Kingdom and Pakistan. The **appellant**/defendant, his paternal nephew, was entrusted by the **respondent**/plaintiff to manage and supervise his business affairs within Pakistan. As stated in the plaint, the **respondent**/plaintiff claims that he regularly remitted funds to the appellant/defendant through online channels for the upkeep and operation of his business. The funds were sent in shape of both GBP and PKR, through various transactions. It is specifically asserted that (i) a sum of Rs.8,696,415/- was transferred by the **respondent**/plaintiff to the appellant/defendant between 18.10.2011

and 29.01.2013, and (ii) an amount of GBP 604,788 was transmitted from 09.06.2010 to 07.05.2014, both through online remittances and direct bank transfers.

3. It is averred in the plaint that in 2018, during the **respondent**/plaintiff's visit to Pakistan, he discovered that the appellant/defendant, while committing fraud, had misappropriated the funds sent to him. The **respondent**/plaintiff maintains that the amounts transferred were, in fact, utilized by the appellant/defendant for investment in real estate. Upon the eruption of the dispute, the matter was referred to a local *panchayat* for resolution. After deliberations, negotiations, and reconciliation of accounts between the parties, a settlement was reached. Consequently, on 24.03.2020, the appellant/defendant voluntarily issued a Cheque No. 00611087, amounting to Rs.99,922,562/-, drawn on Askari Bank Ltd., University Road Branch, Faisalabad, in favour of the **respondent**/plaintiff, in presence of witnesses, namely Muhammad Irfan and Zulfiqar Ali. Upon presentment of the cheque at Meezan Bank Ltd., Samanabad Branch, Faisalabad, on 08.07.2020 for encashment, it was dishonoured due to insufficiency of funds in the appellant/defendant's account. A dishonour memo was accordingly issued by the bank. Thereafter, the **respondent**/plaintiff instituted a suit under Order XXXVII of the *CPC*, for recovery of Rs.99,922,562/-.

4. The appellant/defendant contested the suit by filing an application for leave to defend, which was also treated as written statement upon grant of leave. Appellant/defendant admitted issuance of the cheque, but contended that it was given as a mere guarantee during the arbitration proceedings and not in discharge of any actual liability. He denied the existence of any enforceable obligation. The

leave was granted vide order dated 04.11.2021. The learned trial court framed the following issues:-

- “1. Whether the plaintiff is entitled to a decree for recovery of an amount to the tune of Rs.9,99,22,562/- on the grounds mentioned in the body of plaint? OPP*
- 2. Whether the plaintiff has no cause of action to file this suit? OPD*
- 3. Whether the plaintiff has not come to the court with clean hands? OPD*
- 4. Whether the present suit is time barred and liable to be dismissed? OPD*
- 5. Relief?”*

Both the parties led oral as well as documentary evidence and ultimately, the suit was decreed in favour of the **respondent**/plaintiff and against the appellant/defendant on 11.03.2025. The said judgment and decree are now under challenge through the present appeal.

5. Learned counsel for the appellant/defendant submitted that the impugned judgment and decree dated 11.03.2025 is not sustainable under the law, *inter alia*, on the ground that the subject cheque was handed over by the appellant/defendant to the arbitrator merely as a guarantee and, therefore, did not create any enforceable liability giving rise to a valid cause of action in favour of the **respondent**/plaintiff.

6. Conversely, learned counsel for the **respondent**/plaintiff contended that the cheque in question was voluntarily issued by the appellant/defendant after unequivocally acknowledging the **respondent**/plaintiff's claim and admitting his liability. It was further submitted that dishonour of the cheque squarely attracted the appellant/defendant's civil liability for payment of the outstanding amount. He argued that all the essential ingredients necessary for passing of a decree under Order XXXVII of the CPC, based on a

negotiable instrument, stood fully proved and established on the record.

7. Heard. Record perused.

8. Before proceeding further in the matter, it would be expedient to discuss the principles, which govern a suit founded on the basis of a negotiable instrument. The suit, which is subject matter of the present appeal, has been filed on the basis of a cheque. One of the presumption as contained in Section 118 of the Act is that “... *every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, endorsed negotiated or transferred, was accepted, endorsed negotiated or transferred for consideration*”. This presumption shall arise every time when the execution of negotiable instrument is admitted by a defendant. It, however, can certainly be rebutted by a defendant through a direct and circumstantial evidence to demonstrate, where consideration is absent in which case the onus to prove would shift onto the plaintiff. The initial proof of due execution of a negotiable instrument by the defendant shall rest on the plaintiff and upon such discharge the onus shall shift to the defendant perforce of the presumption under section 118 of the Act. It is then for the defendant to prove that the negotiable instrument is not supported by a consideration, notwithstanding the fact that leave to appear and defend has been granted.¹ As far as the standard of proof for rebuttal of presumption of Section 118 of Act is concerned, the Hon’ble Supreme Court of Pakistan has held that such presumption in favour of a cheque ought to be rebutted strongly by issuer of a cheque.² It is a trite law when the execution is not denied, the burden and standard of

¹ “Muhammad Azizur Rehman v. Liaquat Ali (2007 SCMR 1820) and Haji Karim and another v. Zikar Abdullah (1973 SCMR 100)

² Rab Nawaz Khan v. Javed Khan Swati (2021 SCMR 1890)

rebuttal is much more heavier.³ It has been enunciated by the Apex Court that in a case where it is established that the cheque in issue belonged to the bank account of the defendant and the cheque has been dishonoured due to “*insufficient funds*” no other ground is available to a defendant.⁴

9. The **respondent**/plaintiff appeared as PW-1 and produced in evidence the dishonoured cheque (Exh. P/1), bank dishonour memo (Exh. P/2), and documentary proof of remittances (Exh. P/3 to P/14), including international telegraphic transfers and bank receipts demonstrating transmission of funds, from the UK to Pakistan, into the account/s controlled and operated by the appellant/defendant. The learned counsel for the appellant/defendant argued that Exh. P/3 to P/54 could not be considered or taken into account on the ground that respondent/plaintiff produced photo copies of receipts which bear no signatures and stamp of issuer. Hence, the same were to be de-exhibited. In this context, we are of the opinion that even if Exh. P/3 to P/54 are not relied upon, yet there is sufficient material available on the record justifying liability of the **appellant**/defendant that had accrued in favour of the respondent/plaintiff on account of the fact that the cheque admittedly was executed by the appellant/defendant in favour of the respondent/plaintiff. Therefore, the argument advanced by the appellant/defendant has no bearing on this case. PW-2, an elder of the family, deposed regarding the *panchayat* proceedings, confirming that the cheque was issued voluntarily by the appellant/defendant in settlement of an admitted liability. PW-3 also corroborated the arbitration proceedings and stated that the appellant/defendant had promised to return the money by issuing the cheque in question. The **respondent**/plaintiff's oral testimony

³ Muhammad Arshad and another v. Citibank N.A. Lahore 2006 SCMR 1347 and Col. (Retd.) Ashfaq Ahmed and others v. Sh. Muhammad Wasim (1999 SCMR 2832)

⁴ Najaf Iqbal v. Shahzad Rafique (2020 SCMR 1621)

remained consistent and unshaken during cross-examination. He denied any element of coercion and reiterated that the appellant/defendant voluntarily acknowledged his liability in presence of the arbitrators and witnesses. The **respondent**/plaintiff also produced the statement of account (Exh. P/15), from Meezan Bank confirming dishonouring of the cheque.

10. In rebuttal, the appellant/defendant appeared as DW-1 and admitted issuance of the cheque, but contended that it was never meant to be encashed, and was merely provided to the arbitrator as a security for reconciliation. He stated that the cheque was blank when handed over. However, he did not deny the receipt of foreign remittances nor did he deny proceedings of the *panchayat* in categorical terms. DW-2, a distant relative, supported the appellant/defendant's version, but admitted in cross-examination that no complaint or FIR was lodged, alleging coercion or misuse of the cheque. The appellant/defendant produced Exh. D/1 to D/5, including photocopies of certain undated papers relating to the arbitration, but failed to submit any document invalidating or nullifying the cheque or establishing that it was obtained forcibly. The copy of arbitration deed (Exh. D/19), confirmed that the cheque was given by the appellant/defendant during the reconciliation process without any objection, at that time.

11. The stance/defence taken by the appellant/defendant is neutralized by the fact that the subject cheque was admittedly issued by the appellant/defendant himself, who, within the framework of Section 126 of the Contract Act, 1872, (the **Act, 1872**) clearly falls within the definition of a "principal debtor." For ready reference, the said provision of law is reproduced here:-

"126. "Contract of guarantee", "surety", "principal debtor" and "creditor".— A "contract of guarantee" is a contract to perform the promise, or discharge the

liability, of a third person in case of his default. The person who gives the guarantee is called the “surety”: the person in respect of whose fault the guarantee is given is called the “principal debtor”, and the person to whom the guarantee is given is called the “creditor”. A guarantee may be either oral or written.”

The aforesaid section contemplates three distinct parties in a contract of guarantee: the “surety,” the “principal debtor,” and the “creditor.” In the present case, the appellant/defendant does not qualify either as a surety or a third-party guarantor, but he squarely falls within the definition of the “principal debtor.” Reference may be made to the judgment cited as Messrs State Engineering Corporation Ltd. v. National Development Finance Corporation and others (2006 SCMR 619), wherein the Hon’ble Supreme Court of Pakistan observed as under:-

“5. It is pertinent to mention here that the petitioner had given a guarantee at the time of sanctioning loan facility to the original loanee by the *respondent*. Guarantee means that it is an undertaking by a 3rd party for one of the parties to the contract whereby the 3rd party binds itself to see that the promise or condition would be fulfilled according to covenant. A contract of a guarantee is a contract to meet the promise or discharge the liability of a 3rd person in case of his default. The person who gives the guarantee is called the surety, a person in respect of whose default the guarantee is given is called the creditor. (see section 126 of the Contract Act).”

In light of the above authoritative pronouncement, the appellant/defendant cannot take refuge under the pretext that the subject cheque was merely a guarantee. He, being the direct recipient of the funds and issuer of the cheque, remains liable in the capacity of a principal debtor.

12. The appellant/defendant has nowhere denied his liability to repay the amount; instead, his entire defence rests on the contention that the subject cheque was issued merely by way of a guarantee.

However, while appearing as DW-1, the appellant/defendant expressly admitted receipt of GBP 604,788 through Standard Chartered Bank. He also affirmed the authenticity of the *Iqrarnama* dated 29.10.2018 (Exh. D/11). He did not deny the appointment of the arbitrator or the act of handing over the subject cheque to the said arbitrator. As discussed above, the mere assertion that the cheque was issued as a guarantee fails to fulfill the essential requirements of a valid contract of guarantee under Section 126 of the *Act, 1872*, which contemplates a third-party obligation, but not a direct liability. The absence of any third person, whose default was to be secured, renders the defence untenable.

13. In addition to the foregoing, it is observed that the subject cheque, being a negotiable instrument under section 6 of the Negotiable Instruments Act, 1881 (“the **Act**”), is governed by the statutory presumptions enshrined in section 118 thereof. For ready reference, section 118 of the Act is reproduced below:-

“118. Presumptions as to negotiable instruments---*Until the contrary is proved, the following presumptions shall be made:-*

(a) of consideration: that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, endorsed negotiated or transferred, was accepted, endorsed negotiated or transferred for consideration:

(b) as to date: that every negotiable instrument bearing a date was made or drawn on such date;

(c) as to time for acceptance: that every accepted bill of exchange was accepted within a reasonable time after its date and before its maturity;

(d) as to time of transfer: that every transfer of a negotiable instrument was made before its maturity;

(e) as to order of endorsement: that the endorsements appearing upon a negotiable instrument were made in the order in which they appear thereon;

(f) as to stamp: that a lost promissory note, bill of exchange or cheque was duly stamped;

(g) that holder is a holder in due course: that the holder of a negotiable instrument is a holder in due course, provided that, where the instrument has been obtained from its lawful owner, or from any person in lawful custody thereof, by means of an offence of fraud, or has been obtained from the maker or acceptor thereof by means of an offence or fraud, or for unlawful consideration, the burden of proving that the holder is a holder in due course lies upon him.”

The pivotal question that arises here is whether the subject cheque creates enforceable liability against the appellant/defendant and in favour of the **respondent**/plaintiff. In this context, it is crucial to observe that the appellant/defendant (DW-1), as well as his supporting witnesses, have nowhere denied the execution of the subject cheque. Instead, they have relied solely on the defence that the cheque was handed over to the arbitrator as a form of guarantee, contingent on the determination of liability. As already discussed, the appellant/defendant, having voluntarily issued the cheque and admitted the underlying financial relationship, cannot now be allowed to disown its legal effect. The issuance of the cheque constitutes an independent acknowledgment of liability, and such issuance is presumed to have been for consideration under section 118 of the Act, unless rebutted by strong and convincing evidence, which is absent in the instant case. It is also pertinent that the appellant/defendant never challenged the appointment or authority of the arbitrator, nor raised any objection to the process through which the reconciliation occurred. Reliance may be placed on the judgment of the Hon’ble Supreme Court in Khizar Hayat v. Malik Akhtar Mehmood (2024 SCMR 1208). The relevant excerpts are reproduced hereunder:-

“6. Record reveals that execution of pro-note is admitted by the petitioner. In the agreement dated 07.01.2016, petitioner unequivocally confirmed that the execution of the pro-note and also undertook that if arbitrators decide the matter against him, he would have no objection. This clearly indicates that pro-note was executed against due consideration by the petitioner voluntarily. It appears that cheque along with the pro-note was given to arbitrators for

redetermination and reconsideration of amount due and once the Arbitrators confirmed the amount of Rs. 6,000,000/- as due to the respondent from the petitioner, the pro-note was handed over back the respondent along with a cheque executed by the petitioner.

7...

8. *It is pertinent to point out that petitioner has neither challenged the decision of the arbitrators nor the agreement for appointment of arbitrators or execution of cheque and pro-note. Moreover, perusal of the testimony of the petitioner in his examination in chief clearly indicates that he himself admitted the liability to pay and voluntarily issued pro-note and cheque.” (emphasis supplied)*

Applying the above principle to the present case, it becomes evident that the appellant/defendant’s defence is not only legally untenable but also stands contradicted by his own admissions and conduct. It is further reinforced by the decision of the arbitrator/arbitration deed (Exh. D/19), produced by the appellant/defendant himself, which substantiates the **respondent**/plaintiff’s claim and confirms the appellant/defendant’s exact liability reflected in the subject cheque.

14. As regards the contention of the appellant/defendant that the subject cheque, apart from being issued as a guarantee, was also delivered in blank, the same holds no legal weight. Mere delivery of a cheque, even if allegedly incomplete, after the express or implied acknowledgment of liability does not absolve the drawer from the consequences arising from such issuance. The act of handing over a signed cheque, especially in the presence of an admitted financial obligation, inherently carries the presumption of a lawful authority for its completion and presentment. The argument that the cheque was blank at the time of delivery is rendered inconsequential in light of the binding precedent laid down by the Hon’ble Supreme Court in “Muhammad Arshad and another v. Citibank N.A. Lahore (2006

SCMR 1347). The relevant portion of the judgment is reproduced below:-

“...It is well-settled by now that “Negotiable Instruments Act provides that where one person signs and delivers to another paper stamped in accordance with law, either wholly blank or having written thereon incomplete negotiable instrument, in order that it may be made, or completed into negotiable instrument, he thereby gives prima facie authority to person who receives that paper to make or complete it as case may be into negotiable instrument for any amount...”

In the present case, the appellant/defendant’s own admission regarding the execution of the cheque, his failure to challenge the reconciliation proceedings, and his acknowledgment of prior financial dealings with the **respondent**/plaintiff, clearly demonstrate that the subject cheque was not only issued voluntarily, but was also enforceable under the law. The defence of issuing “blank cheque” is, therefore, baseless and does not rebut the statutory presumption under Section 118 of the Act.

15. Likewise, a learned Division Bench of the High Court of Sindh reiterated the same principle in the case reported as Bazm-e-Salat and others v. Messrs United Bank Ltd (PLD 1989 Karachi 150). The relevant portion is reproduced below:-

“Reading of section 20 of the Negotiable Instruments Act clearly shows that in respect of inchoate stamped instrument clear cut authority is given to the person who receives such instrument to complete it into Negotiable Instrument. Under the law of limitation three years period is allowed for filing a suit on the basis of negotiable instrument. In the hands of bearer inchoate stamped instrument is certainly more beneficial than negotiable instrument for the reason that negotiable instrument is complete in all respects and suit can be filed in respect of it within three years.”

In addition, reference may be made to a judgment from a neighbouring jurisdiction reported as ICDS Ltd. v. Beena Shabbeer

and another [(2002) 6 Supreme Court Cases 426], wherein the Court emphasized the strict language and intention behind the provisions of cheque liability as follows:-

“10. The language, however, has been rather specific as regards the intent of the legislature. The commencement of the section stands with the words “Where any cheque”. The above noted three words are of extreme significance, in particular, by reason of the use of the word “any” – the first three words suggest that in fact for whatever reason if a cheque is drawn on an account maintained by him with a banker in favour of another person for the discharge of any debt or other liability, the highlighted words if read with the first three words at the commencement of Section 138, leave no manner of doubt that for whatever reason it may be, the liability under this provision cannot be avoided in the event the same stands returned by the banker unpaid. The legislature has been careful enough to record not only discharge in whole or in part of any debt but the same includes other liability as well. This aspect of the matter has not been appreciated by the High Court, neither been dealt with or even referred to in the impugned judgment.”

16. Hence, we are of the considered view that the subject cheque, being an independent instrument under the law of negotiable instruments, created an actionable liability on part of the appellant/defendant. As per Section 118 of the Act, a statutory presumption of consideration is attached to the subject cheque unless proved otherwise. This presumption can only be rebutted by credible and cogent evidence, which the appellant/defendant has failed to produce. See “Muhammad Aziz ur Rehman v. Liaquat Ali” (2007 SCMR 1820). The relevant portion of the judgment is reproduced below:-

“6. The appellant denied the execution of promissory note or receipt in his written statement but in the cross-examination admitted that the pro note and the receipt were executed by him as a guarantee for business with respondent. According to section 118 of the Act, until the contrary is proved, the presumption shall be made that every negotiable instrument was

made or drawn for consideration. The appellant has not been able to establish on record through independent and cogent evidence that consideration of the promissory note has not been received by him.”

In the above said precedent, the apex Court also cited its earlier judgment reported as Haji Karim and another v. Zakir Abdullah (1973 SCMR 100), wherein it was held as under:-

“8. Similarly in the case of Haji Karim and another v. Zakir Abdullah 1973 SCMR 100 this Court held that:--

“Under section 118 of the Negotiable Instruments Act, 1881, there is an initial presumption that a negotiable instrument is made, drawn, accepted or endorsed for consideration. Although this presumption is a rebuttable presumption, yet the onus is on the person denying consideration to allege and prove the same.”

17. Similarly, in Muhammad Akhtar v. Zahar Khan (2006 CLD 737), a learned Division Bench of this Court ruled as follows:-

5. It is admitted fact in the present case that the appellant/defendant admitted the execution of pro note/receipt with the objection that pro note/receipt was executed as surety. In other words execution of the document was admitted by the appellant/defendant. Therefore, burden to prove that the document in question was executed as surety was on the appellant/defendant but he could not prove this fact by producing evidence. Therefore, trial Court was justified to decree the suit against the appellant/defendant which is in consonance with the law laid down in Farid Akhtar Hadi’s case 1993 CLC 2015. It is settled principle of law that under section 118 of Negotiable Instruments Act, 1881 there is an initial presumption that negotiable instrument is made, drawn, accepted and endorsed for consideration although this presumption is rebuttable yet it is settled law that the onus is on the person denying consideration to allege and prove the same as the law declared by the Honourable Supreme Court while interpreting aforesaid provision of law in Haji Karim’s case 1973SCMR 100.”

18. A careful examination of the record reveals that the appellant/defendant never denied the issuance of the subject cheque;

rather, there is a clear admission to that effect. Furthermore, the appellant/defendant failed to rebut the statutory presumption of consideration attached to a cheque under Section 118 of the Act. This failure is fatal to his defence. It is well-settled that the presumption under section 118 of the Act can only be displaced by producing cogent and reliable evidence. The appellant/defendant has not led any such evidence to rebut this presumption. Further reference, if so required, can be made on Muhammad Nawaz v. Qazi Muhammad Rashid (2018 CLD 104), wherein it was held that mere oral assertions, without corroborative documentary proof, do not meet the legal standard required to rebut the statutory presumption.

19. No material illegality, irregularity, misreading, or non-reading of evidence has been pointed out by the appellant/defendant. The learned trial court rightly appreciated the evidence and correctly applied the settled legal principles in decreeing the suit under Order XXXVII of the CPC. Hence, the impugned judgment dated 11.03.2025 does not call for any interference in the appellate jurisdiction. Resultantly, this Regular First Appeal being devoid of merit is hereby dismissed. The judgment and decree dated 11.03.2025 passed by the learned Additional District Judge, Faisalabad, is upheld. Parties are left to bear their own costs.

(Sultan Tanvir Ahmad) **(Hassan Nawaz Makhdoom)**
Judge Judge

Announced in open Court on **02.07.2025.**

Judge Judge

Approved for reporting.

Judge Judge

* Iqbal *